Ventas (VTR)

Fundamental analysis & five-year outlook | July 18, 2026 | Price $96.10 (close 7/17/26, a 52-week high) | Market cap ~$47.8B | EV ~$60.6B | Q2 reports July 29, 2026

The one-paragraph version. Ventas owns roughly 900 senior housing communities into the single most reliable demand curve in American real estate: the first Baby Boomers turned 80 this year, the 80+ population grows ~37% over the coming decade, and new supply is at a twenty-year low. The operating results are excellent — a fifth straight year of double-digit SHOP NOI growth, occupancy up 310bp to 90.4%, leverage down for ten consecutive quarters. The stock has responded, up ~48% in twelve months to a 52-week high. **Two things get lost in that story. First, the yardstick: Ventas guides to $3.86 of Normalized FFO — but that figure now adds back stock compensation (a change made this year), and it is before the $400M of maintenance capex the company itself budgets. Charge both and you get ~$2.90 of AFFO, so the stock is at 33x, not the 25x the screens show — 2.1x what American Tower costs on the same yardstick.** Second, the record: since 2020, absolute FFO is up 55% but **per-share** FFO is up 14%, because the share count is up 34%. Ventas grows by issuing equity, which works beautifully while the multiple is high and stops working when it isn't. **The crux: occupancy is the growth engine and at 90.4% against a 92% prior peak it is roughly 90% spent — so you are paying 33x AFFO for a growth rate that has two or three good years left in it, after which the multiple has to come down. My call: an outstanding sector, an average per-share compounder, and a demanding price. Not a buy here — and if you want more REIT exposure, the one you already own is the cheaper asset.**

§0 — A note on method (why the usual metrics mislead here).

- **P/E is meaningless.** Ventas screens at ~172x trailing earnings. That is an artifact of depreciating buildings that are appreciating, not a valuation signal. Ignore it entirely.
- **FFO is the industry standard but it is not cash.** FFO adds back real-estate depreciation and deducts nothing for the roofs, elevators, HVAC and unit refreshes that senior housing genuinely consumes. **AFFO (or FAD) is the number that pays the dividend.**
- **Never compare an FFO multiple to an AFFO multiple.** This is the single most common error in healthcare-REIT write-ups, and it is worth roughly a third of the answer here.
- **Everything is per share.** A REIT can grow revenue and NOI forever by issuing stock and buying buildings. Total NOI growth tells you almost nothing about whether an owner got richer.
- **Same-store cash NOI** is the organic-growth signal, split into its two drivers — occupancy and RevPOR. Those two numbers are the business.

1. History, business model, and revenue mix

The short history

Ventas was created in 1983 and became a REIT in 1998 out of the wreckage of Vencor, a nursing-home operator that went bankrupt. **Debra Cafaro has run it since 1999 — twenty-seven years, one of the longest tenures in the S&P 500.** For most of that time Ventas was a diversified healthcare landlord: triple-net leases to operators, medical office buildings, and a life-science business. That model broke twice — first when Brookdale's rent coverage deteriorated, and decisively in 2020, when COVID emptied senior housing communities and Ventas **cut its dividend 43%** and left it there for four and a half years.

The chapter since is a deliberate pivot from *landlord* to *operator*. Rather than collect fixed rent, Ventas has been converting triple-net assets into its Senior Housing Operating Portfolio (SHOP), where it takes the property's economics directly — all of the upside from an occupancy recovery, and all of the downside from wage inflation. It has paired that with an aggressive acquisition programme (over $2B in 2024, $3B guided for 2026) funded almost entirely with newly issued equity. It has worked: SHOP same-store cash NOI has grown double digits five years running, and leverage has fallen from 6.9x to 5.0x. **It is the right strategy, executed well, into a genuine demographic wave. The question this report is about is what it is worth.**

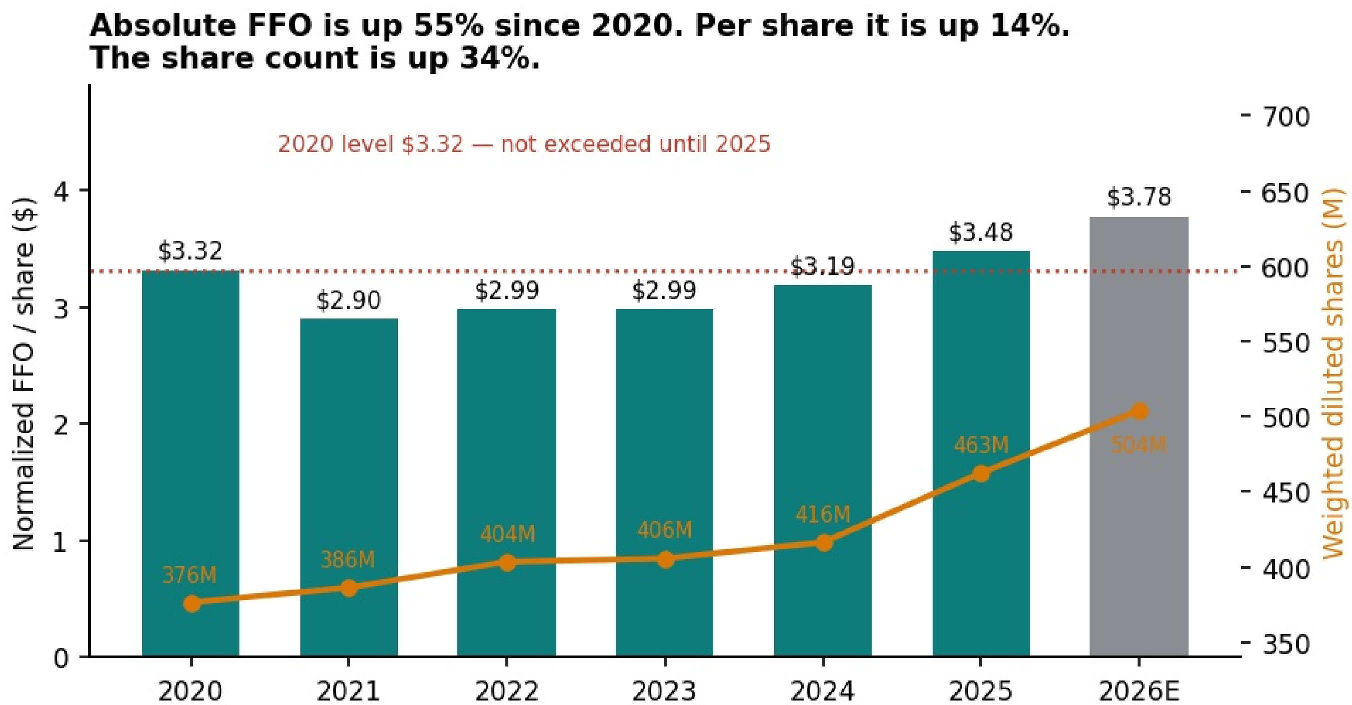
Business model

Three segments, and they behave completely differently. **SHOP** (~58% of NOI) is not a rental business — it is an operating business in a real-estate wrapper. Residents pay roughly $5,000–6,000/month; managers run the buildings for a fee; Ventas keeps the profit after labour, food and utilities. NOI margin is ~30%, and **incremental margin on a newly filled unit is ~50%**, which is why occupancy gains flow through so violently. It cuts both ways: a 3% wage shock against a 30% margin is a 7% hit to NOI. **Outpatient Medical & Research** (~23% of NOI) is a conventional landlord business on and around hospital campuses — 91% leased, growing ~2–3%, the ballast. **Triple-net** (~19%) is the legacy book, shrinking as assets convert to SHOP.

Segments (Q1 2026)

Segment	Q1'26 NOI	% of NOI	Same-store cash NOI growth	Comment
SHOP — senior housing operating	$374M	57.5%	**+15.4%**	The whole story. Occupancy +310bp to 90.4%, RevPOR +5%, margin +170bp to 30%
OM&R — outpatient medical & research	$151M	23.1%	+2.4%	Outpatient medical +3.1%, occupancy ~91%, 7th straight quarter of gains; research is the drag
NNN — triple-net leased	$120M	18.5%	+1.6%	Shrinking by design; rental income fell 21% y/y as assets convert to SHOP
Total company	$651M	100%	+8.7%	Note the gap: SHOP at 15% blends down to 9% total

Source: Ventas Q1 2026 earnings release (Apr 27, 2026), Same-Store Cash NOI by Segment reconciliation. Percentages exclude non-segment NOI.



Sources: Ventas FY2023–FY2025 earnings releases and 2025 Annual Report (Normalized FFO reconciliations); FY2026 figure is company guidance midpoint of $3.86 **less the $0.08 stock-compensation add-back**, to keep it comparable with prior years — see §5. 2020–2022 share counts and FFO per the 2023 proxy. Grey bar is guidance.

2. Moat and competitive landscape

Where the moat is real

- **Irreplaceable assets bought below replacement cost.** With construction starts down ~77% from peak and inventory growth at a record-low 0.4%, an existing, occupied, well-located community is worth more than the cost of building one — and nobody can build a competing one inside three to four years. That is a real, time-limited supply moat.
- **Operator relationships and scale.** Ventas works with a deep bench of managers and can move a struggling building to a better operator. In a fragmented industry of small owners, that optionality has value, and its US same-store occupancy beat the NIC top-99 markets by 150bp in Q1.
- **Cost of capital.** A 5.0x-levered, investment-grade balance sheet with $5.5B of liquidity lets Ventas buy portfolios that private bidders cannot finance. This is the most durable of the three advantages.
- **Outpatient medical is genuinely sticky.** On-campus buildings tied to health systems have high renewal rates and are the least exciting, most reliable part of the company.

Where the moat is thinner than the bulls admit

- **The tailwind is sectoral, not proprietary.** Every owner of senior housing gets the 80+ wave. Nothing about demographics accrues to Ventas specifically, and the multiple is being paid as though something does.
- **The peer is beating them, badly.** Welltower grew SHOP same-store NOI **22.1%** and normalized FFO per share **23%** in Q1; Ventas grew 15.4% and 9%. Welltower's leverage is 2.73x versus 5.0x. Same demographics, same quarter, roughly double the per-share outcome. If scale and operator relationships were the moat, that gap would not exist.
- **"Ventas OI" is a data platform, not a patent.** It is plausibly a real edge in pricing and staffing. It is also the kind of edge competitors copy in two or three years, and it is being credited with a great deal in the bull case.
- **The long-run per-share record is bad.** FFO per share compounded at roughly **−2.4%/yr over ten years** and +2.2%/yr over the six years since 2020. This is a business that has repeatedly converted an attractive sector into mediocre per-share outcomes, and one strong cycle does not overturn that.
- **The growth engine is reflexive.** Ventas funds acquisitions by issuing stock. At 33x AFFO its equity yields ~3%, so buying assets at a 6–7% cap rate is accretive. Let the multiple fall to 22x and the equity yields 4.5%, the accretion largely vanishes, and the external growth story stops with it. **The high multiple is not just a valuation — it is an input to the growth rate.**

Peer comparison (closes of 7/17/26)

Company	Market cap	2026E multiple	Per-share growth	Net debt/EBITDA	Position vs VTR
Ventas (VTR) $96.10	$47.8B	24.9x FFO / **33.2x AFFO**	+8% FFO/sh	5.0x	Pure senior-housing recovery play, mid-tier execution
Welltower (WELL) $243.31	$171.8B	38.7x FFO	**+23% FFO/sh (Q1)**	2.73x	The peer that is beating them: better balance sheet, double the growth, richer multiple
American Tower (AMT) $170.04	$79.2B	**15.5x AFFO**	+2% (≈5% FX-neutral)	4.9x	Slower, but half the price on a like-for-like basis — and you already own it
Healthpeak (DOC) $22.51	$15.9B	—	—	—	Outpatient medical + lab; 5.5% yield, the value end of the sector
Omega Healthcare (OHI) $50.20	$14.9B	—	—	—	Skilled nursing triple-net; different risk (reimbursement), 5.4% yield

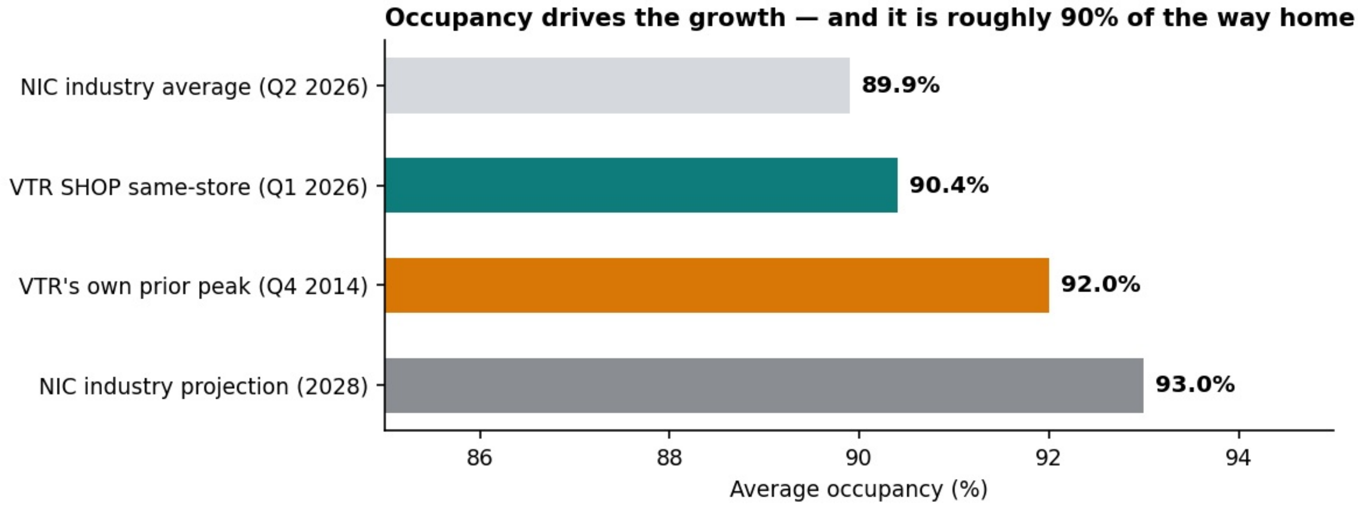
Sources: Robinhood closing quotes 7/17/26; VTR and WELL 2026 Normalized FFO guidance midpoints ($3.86, $6.28) from Q1'26 releases; AMT 2026 attributable AFFO/share of ~$10.99 from the Q1'26 call. **Note the yardsticks differ** — WELL's multiple is on FFO and is therefore flattered the same way VTR's is; AMT's is on AFFO and is not. DOC and OHI multiples are omitted rather than guessed; I did not pull their guidance same-day.

3. Growth drivers

Driver 1 — Occupancy recovery (proven, compounding, and finite)

This is the engine and almost nothing else matters. SHOP same-store average occupancy reached **90.4% in Q1 2026, up 310bp year over year** (US up 370bp), and with incremental margins near 50% that alone produced 15%+ NOI growth. Guidance assumes another ~270bp in 2026.

Now the part the bull case skips. Ventas's own portfolio peaked at **92% occupancy in Q4 2014**. The industry sits at 89.9% and NIC projects it stabilising near 93% by 2028. At 90.4% today, Ventas has roughly 150–250bp of runway — **two to three more years at the current pace, and then it is over.** Occupancy is a level, not a growth rate: once you are full, this driver contributes zero, permanently, and NOI growth reverts to rate minus expenses. In Q1 that was RevPOR +5.0% against operating expenses +5.8%. **The 15% growth rate the market is capitalising is a one-time recovery being mistaken for a run rate.**



Sources: Ventas Q1'26 earnings call (SHOP same-store average occupancy 90.4%); Ventas Q1'26 investor presentation (prior peak 92%, Q4 2014); NIC MAP (industry occupancy 89.9% in Q2 2026, 20th consecutive quarterly gain; 2028 projection ~93%). VTR's figure includes Canada and the UK; US-only occupancy is roughly 87%, so the US runway is longer and the international runway is shorter.

Driver 2 — Pricing / RevPOR (proven, durable, modest)

RevPOR grew 5% year over year with in-place rate increases near 8%. This is the driver that survives after occupancy stabilises, and senior housing has real pricing power because the decision is need-driven and the alternatives are scarce. But it is a *mid-single-digit* driver, and it is partly offset by labour, which is roughly 60% of the operating cost base. Long-run, honest expectation: **NOI growth of 3–5% once occupancy normalises**, not 15%.

Driver 3 — External growth (proven, but conditional on the share price)

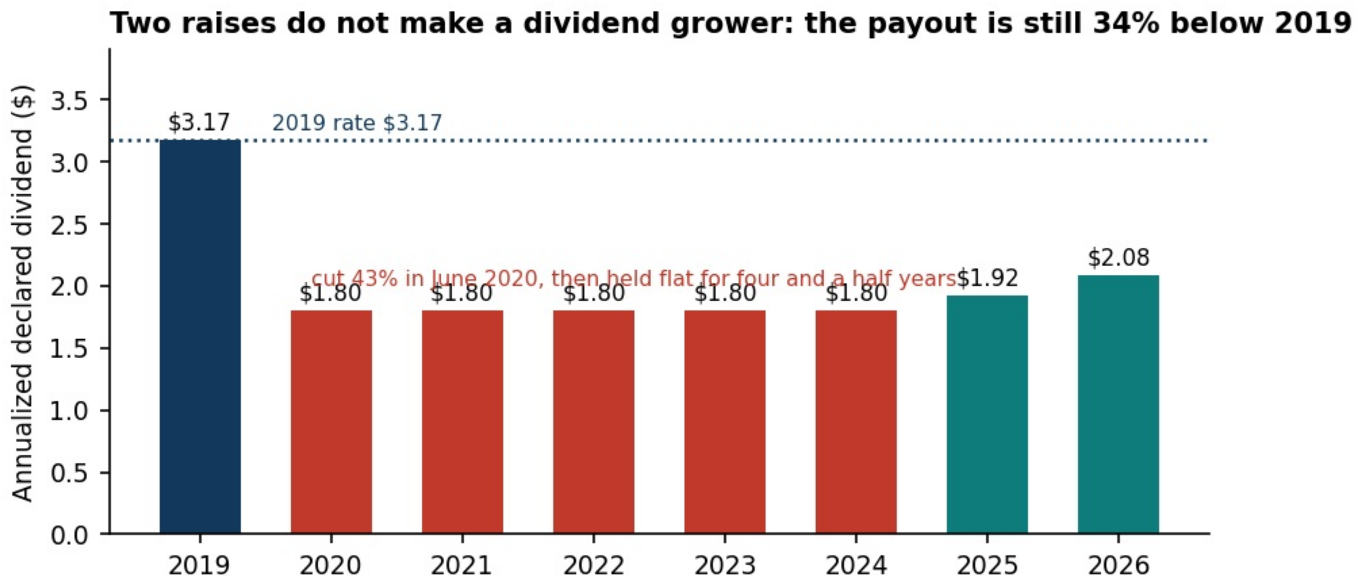
Ventas raised its 2026 investment target from $2.5B to $3B, closed $1.7B by April, and underwrites new senior housing at double-digit-to-mid-teens unlevered IRRs. Funding: **$2.4B of equity capital** for 2026, with $1.6B in unsettled forward sales still outstanding. Two caveats management itself flagged on the Q1 call: the bidding environment is intensifying and cap rates are compressing, and SHOP incremental margins are not expected to improve from ~50%. And as noted above, the accretion mathematics depend on the stock staying expensive.

Driver 4 — Research / life science recovery (optionality — zero in my base case)

The research portfolio has been a drag on OM&R and could inflect if lab demand recovers. It is small and I am not underwriting it. **Zero in the base case, and I say so rather than smuggling it in as "upside."**

4. Capital allocation

Item	Detail
Acquisitions	~$3B guided for 2026 (raised from $2.5B), $1.7B closed through April incl. the $540M Revel independent-living portfolio; over $2B in 2024
Equity issuance	**$2.4B raised for 2026**; 10.6M shares settled in Q1 for $0.8B, $1.6B still on forward sale. 37.3M shares issued in 2024 for ~$2.2B. This is the primary funding source
Maintenance capex	~$400M guided for 2026 ("FAD capital expenditures") — roughly 21% of Normalized FFO, and the reason FFO overstates cash here
Dividend	$0.52/quarter, $2.08 annualized, 2.2% yield. Raised 8% for 2026 after 7% for 2025 — **and still 34% below the 2019 rate**
Buyback	None. Correct — you do not repurchase stock at 33x AFFO while issuing it to buy assets
Balance sheet	Net debt $12.8B, **5.0x Further Adjusted EBITDA** — bottom of the 5.0–6.0x target range, ten consecutive quarters of improvement; $5.5B liquidity



Source: Ventas IR dividend history and quarterly declarations. Shown as the annualized declared rate in each year, so the 2020 bar reflects the post-cut rate. The 2026 rate of $2.08 is 34% below the 2019 rate of $3.17, seven years later.

The honest read. The deleveraging is genuinely impressive and the acquisitions look sensibly underwritten into a supply-starved market. But read the actions rather than the release: **management is funding growth almost entirely by selling stock, which is what a management team does when it believes its shares are expensive relative to the assets it can buy.** That is rational capital allocation and I would do the same in their chair — but it is also, from the outside, a signal about the currency. Note too what it means for the owner: Ventas retains only ~$411M of AFFO after the dividend, against $3B of investment. **Roughly seven-eighths of the growth is bought with newly printed shares.** That is why total NOI growth of 14% arrives as 9% per share.

5. Financial deep dive

Five-year record

Fiscal year	2022	2023	2024	2025	2026E
Total revenue ($B)	4.13	4.50	4.92	5.83	~6.7
Normalized FFO ($M)	1,207	1,212	1,327	1,610	~1,940
Normalized FFO / share	2.99	2.99	3.19	3.48	3.86*
on the prior definition	2.99	2.99	3.19	3.48	**3.78**
Weighted diluted shares (M)	403.5	405.7	416.4	462.6	504.0
SHOP same-store cash NOI growth	—	—	+15.8%	+15.0%	+16% (gtd)
Net debt / Further Adj. EBITDA	—	6.9x	6.0x	—	5.0x (Q1)
Dividend (annualized rate)	1.80	1.80	1.80	1.92	2.08

Revenue CAGR 2022→2026E ~12.9%. Normalized FFO per share CAGR on a consistent definition ~6.0%. Share count CAGR ~5.7%. *2026 guidance is on a new definition that adds back stock compensation; the row beneath restates it to the prior basis. 2026E revenue is my estimate from Q1 actual and Q2 guidance; every other figure is company-reported or company-guided. SHOP growth not shown for 2022–23 because the same-store definition and portfolio composition changed materially with the triple-net conversions.

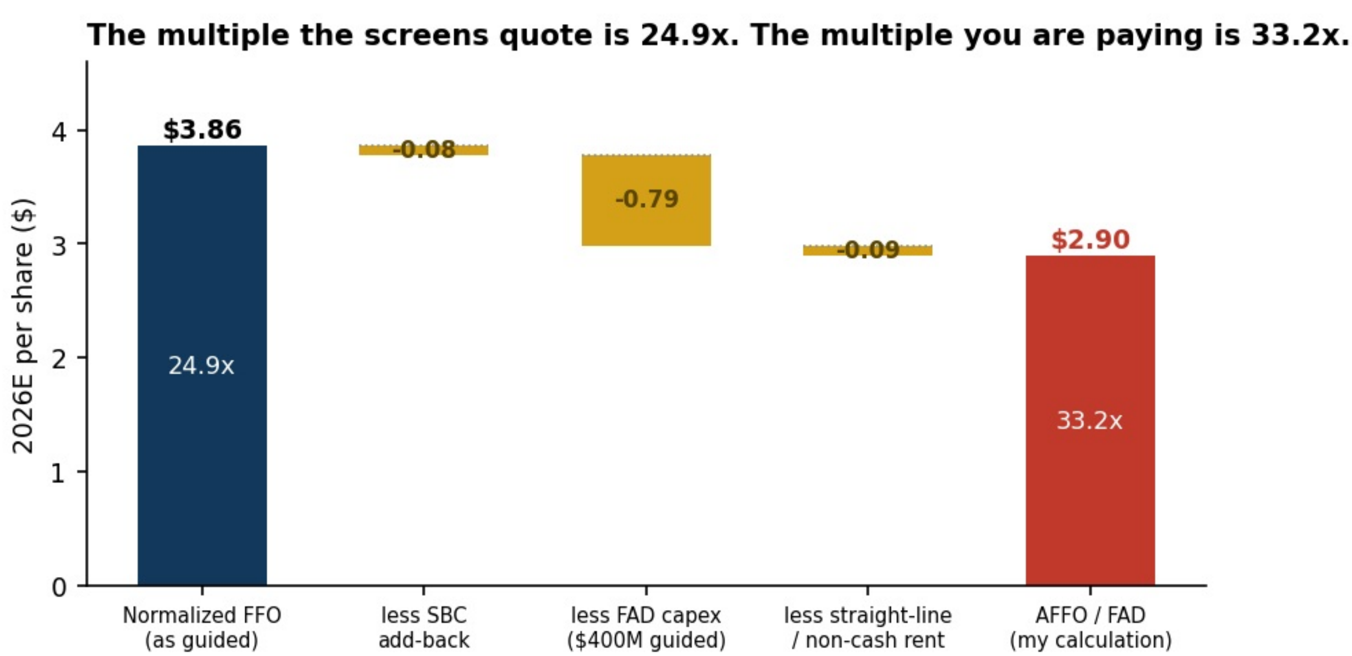
Strip the noise, part one: the goalposts moved this year.

Beginning with Q1 2026, Ventas **excludes non-cash stock-based compensation expense from Normalized FFO** — that is, it adds the cost back. The company discloses the effect plainly: **$0.08 per share.** Prior periods were restated, so the reported *growth rate* is comparable. The *multiple* is not: the $3.86 headline is $0.08 richer than the same company would have reported under last year's definition, so the honest forward FFO figure is **$3.78, and the multiple is 25.4x, not 24.9x.**

Two observations, offered without any allegation of bad faith. First, this is a real cost to owners — Ventas paid $24.8M of it in Q1 alone — and adding it back does not make it disappear; Buffett was right about this and I follow him. Second, note the *timing*: the definition loosened in the year the company is asking the market to capitalise its highest growth rate in a decade. Companies rarely redefine metrics in a direction that hurts. It is small, it is disclosed in a footnote, and essentially every write-up you will read quotes $3.86 without mentioning it.

Strip the noise, part two: FFO is not the cash

The larger correction is the one the asset class demands. FFO adds back all real-estate depreciation and deducts nothing for the capital senior housing actually consumes. Ventas does not have to be taken on faith here — **its own 2026 guidance budgets ~$400M of "FAD capital expenditures," or $0.79 per share.** In the prior comparison of Ventas against American Tower this figure had to be estimated; it no longer does, and the disclosed number sits at the high end of what I had assumed.



Sources: Ventas Q1 2026 earnings release — Normalized FFO guidance midpoint $3.86, footnote disclosing the $0.08 stock-compensation impact, and the guidance assumption of ~$400M FAD capital expenditures on 504M weighted diluted shares. The straight-line and non-cash rental income deduction ($0.09) is **my estimate**, annualised from the Q1 same-store reconciliation ($6.7M straight-lining + $4.5M non-cash rental income). AFFO is my calculation, not a company-reported figure.

Key metrics — current

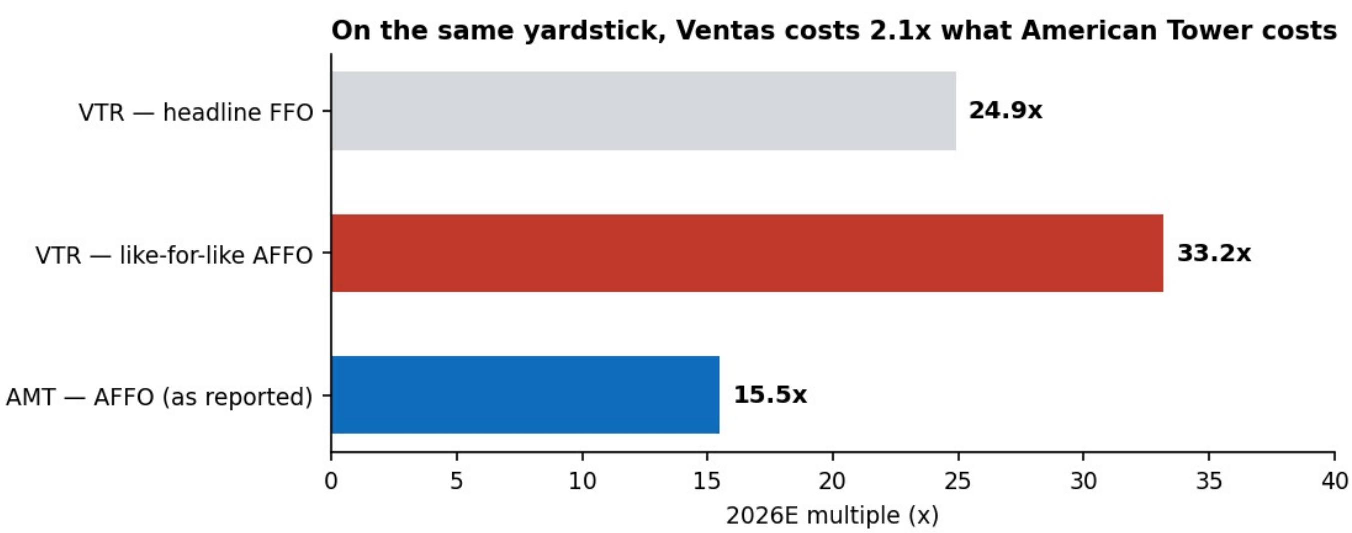
Metric	Value	Comment
Price / market cap / EV	$96.10 / $47.8B / $60.6B	Close 7/17/26, a 52-week high; range $65.15–$97.16
Trailing P/E	~172x	**Meaningless** — real-estate depreciation. Do not use it in either direction
2026E Normalized FFO multiple	24.9x	The number every screen and headline shows
2026E FFO multiple, prior definition	25.4x	Strips the new stock-comp add-back
2026E AFFO / FAD multiple (mine)	**33.2x**	**The honest number.** Charges the company's own $400M capex budget
AFFO yield	3.0%	Against a 10-year Treasury; this is the whole valuation argument in one line
Dividend / yield	$2.08 / 2.16%	72% of my AFFO estimate — covered, but not generously
Retained AFFO after dividend	~$411M	Versus $3B of planned investment — hence the equity issuance
Net debt / Further Adj. EBITDA	5.0x	**Genuinely strong** and improving; bottom of the target range
Same-store cash NOI growth	+8.7% total, +15.4% SHOP	Excellent — and the SHOP figure is occupancy-driven, so it is not repeatable indefinitely
ROIC / cap rates on acquisitions	omitted	Management cites "double-digit to mid-teens unlevered IRRs," which is an underwriting assumption, not a result. I have no way to verify it and will not repeat it as fact

Cash-flow quality and the sensitivity that matters

The direction of the distortion here is unfavourable, and it is worth saying so plainly because it is not always. Ventas's earnings are *not* understated by conservative accounting; its headline cash metric is *overstated* by the omission of a capital cost it genuinely incurs. The one soft input in my AFFO figure is how much of the $400M is truly recurring maintenance versus value-add repositioning — the company does not split it. So here is the sensitivity rather than a verdict:

Recurring capex assumption	Per share	Implied 2026E AFFO	Multiple at $96.10	Read
$300M (a third is growth capex)	$0.60	$3.09	31.1x	Still nearly double AMT
$400M (company's own guide)	$0.79	$2.90	**33.2x**	My base assumption
$500M	$0.99	$2.70	35.6x	Plausible as the portfolio ages
$600M	$1.19	$2.50	38.4x	Punitive; shown to bound the range

Illustrative. The point is the shape, not the decimal: under *every* assumption, including one that hands Ventas a third of its capex budget for free, the stock is at 31x or more — roughly twice a like-for-like American Tower. The conclusion does not depend on the estimate.



Sources: VTR from the bridge above; AMT 2026 attributable AFFO/share guidance of ~$10.99 as stated on the Q1 2026 earnings call, at the 7/17/26 close of $170.04. **Source conflict noted:** one secondary write-up cites AMT 2026 AFFO guidance of $9.80–$10.00; I have used the figure from the company's own call. If the lower number were right, AMT would be at ~17x and the gap would narrow slightly, not close.

6. Key risks and red flags

Risk	Severity	Assessment & what to watch
Multiple compression	**HIGH**	At 33x AFFO / a 3.0% AFFO yield, a de-rate to 22x costs a third of the stock with nothing wrong at the property level. This is the dominant risk and it is not operational. Watch the spread between the AFFO yield and the 10-year Treasury.
Occupancy ceiling	**HIGH**	90.4% today against a 92% prior peak. **Watch the year-over-year occupancy gain: the first quarter below ~200bp is the signal that the engine is running out.** It was +310bp in Q1'26 and +300bp in 2024.
Dependence on equity issuance	MED-HIGH	Reflexive: a falling multiple stops the accretion, which slows growth, which lowers the multiple. Watch whether the 2027 investment guide is funded with equity, debt, or dispositions — a shift away from equity would tell you management thinks the stock is no longer cheap currency.
Labour cost inflation	MEDIUM	Against a 30% NOI margin, expense growth running above RevPOR growth reverses the operating leverage fast. Q1: expenses +5.8% vs RevPOR +5.0%, which management attributed to winter storms. Watch whether that inverts in Q2 and Q3.
Rate sensitivity	MEDIUM	$640M of 2026 interest expense; management already trimmed $0.01 from guidance for the forward curve. A REIT at a 3% AFFO yield is a long-duration bond substitute whether or not its owners think of it that way.
Operator / tenant concentration	MEDIUM	Brookdale remains a meaningful triple-net counterparty (a 35% cash rent escalator kicked in Jan 1, 2026 — welcome, but it tells you how far below market the old rent was). Third-party managers run the SHOP buildings; Ventas explicitly warns it has not independently verified operator-supplied data.
New supply killing the cycle	**LOW (overstated)**	I think the market *overstates* this on any horizon that matters. Starts are down ~77% from peak, units under construction are the lowest since 2012, over half of NIC's tracked metros have no project at all, and the constraint is construction financing rather than demand. Even if capital returned tomorrow, delivery is three to four years out. **Supply is not the thing that breaks this stock — the multiple is.**

Red flag worth its own paragraph: the growth everyone is celebrating is mostly not per-share growth.

In Q1 2026 Ventas reported total company NOI growth of **14%** and absolute Normalized FFO growth of **18%**. Normalized FFO *per share* grew **9%**. The difference is the share count, which rose 9% year over year — from 446 million to 487 million diluted. **Half of the reported FFO growth was purchased with newly issued stock, not generated by the business.**

Extend it: since 2020, absolute Normalized FFO is up **55%** and per-share FFO is up **14%** — 2.2% a year, less than inflation over the same period — while the share count rose 34%. Over ten years, FFO per share compounded at roughly **negative 2.4%**. None of this is hidden and none of it is improper; issuing equity to buy assets at accretive spreads is exactly what a REIT with a high multiple should do. But it reframes the company. **Stripped of spin: Ventas is not a compounder that has been temporarily depressed. It is a capital aggregator in an excellent sector, whose owners have historically captured a small fraction of the growth the enterprise produced.** Anyone underwriting the last five quarters as the new normal is extrapolating a recovery, a favourable equity window, and a supply drought all at once.

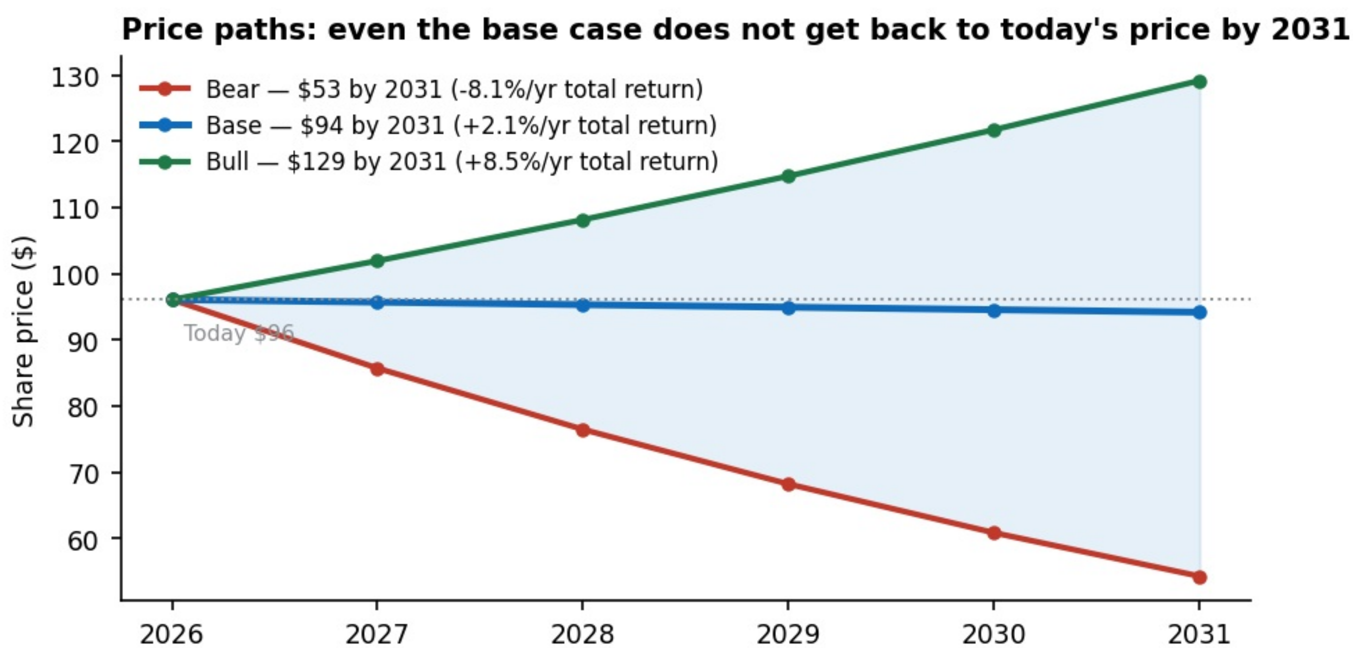
7. Valuation and five-year outlook

The setup. You are being offered the second-best operator in the best-positioned property type in American real estate, with leverage at a decade low and a demographic tailwind that runs to 2038 — at a 52-week high, after a 48% twelve-month move, for **33x AFFO / a 3.0% AFFO yield**, with a 2.2% dividend that remains a third below its 2019 level. On a like-for-like basis that is 2.1x what the tower REIT already in the portfolio costs.

Five-year scenarios (hold to end-2031)

Scenario	2031 clean FFO/sh	2031 AFFO/sh	Exit multiple	2031 price	5-yr IRR
Bear — occupancy plateaus by 2028, wages outrun rate, cost of capital rises, external growth stops, multiple normalises	$4.34	$3.32	16x AFFO	$53	**−8.1%/yr**
Base — occupancy reaches ~93%, growth decelerates 8%→5%, acquisitions continue at a slower clip, multiple compresses toward a premium-REIT level	$5.10	$3.91	24x AFFO	$94	**+2.1%/yr**
Bull — the 80+ wave sustains double-digit SHOP growth longer, the equity window stays open, the sector stays re-rated	$5.60	$4.29	30x AFFO	$129	**+8.5%/yr**

IRR includes dividends, modelled to grow with FFO. **My assumptions, not consensus.** Probability-weighted (30% bear / 45% base / 25% bull), expected IRR is roughly **+0.6%/yr**. As with any expensive stock, the asymmetry rather than the midpoint is the point.



The exit multiple *is* the call

Everything above is dominated by one assumption, so it deserves to be exposed rather than buried. Holding the base-case 2031 AFFO of $3.91 fixed and flexing only the exit multiple:

Exit multiple on AFFO	2031 price	Total return	What it implies
16x	$63	**−5.6%/yr**	A 6.3% AFFO yield — where healthcare REITs traded for most of the 2010s
20x	$78	**−1.4%/yr**	A quality premium, still a de-rate from here
24x	$94	+2.1%/yr	My base — a lasting premium for demographics
28x	$109	**+5.2%/yr**	Most of today's re-rating holds
33x	$129	**+8.7%/yr**	The multiple never compresses at all

Illustrative — one variable flexed. Read it this way: *even if you keep today's multiple entirely intact for five years*, Ventas returns under 9%/yr. That is the ceiling, and it requires assuming away the single most likely source of loss. If you disagree with my conclusion, this is the row to argue with.

What is priced in at $96.10?

Run it backwards. To earn a market **10%/yr for five years**, including dividends, Ventas needs to reach roughly **$140 by 2031**. What that requires depends entirely on the exit multiple:

- At a **24x** exit — my base — you need 2031 AFFO of $5.82, which is **+15.0%/yr AFFO growth for five straight years.** Ventas has never done that per share over any five-year period, and it is roughly triple what the business generates once

occupancy stabilises.
- At a **28x** exit you still need +11.5%/yr.
- Only if you assume the multiple **never compresses at all** (33x) does the required growth fall to +7.9%/yr — still above the ~6% per-share rate of the last four years, and that period included the entire occupancy recovery.

In other words, the market is pricing the recovery rate as the terminal rate. The base case — management does well, occupancy tops out around 93%, growth decelerates gracefully, and the stock still commands a healthy 24x premium — earns roughly 2%/yr, because six years of good operating results get handed back through the multiple. You are not paid much for being right, and the bear case costs you 45% of your capital.

Fit with your portfolio's growth objective

> **The 2.2% yield is irrelevant to you** — with the $80,000 pension and retiree medical, income is pre-solved, and this name is frequently marketed on a dividend that is *still a third below where it stood in 2019*. Judge it purely on total return, and on total return the base case is ~2%/yr. **Your 10-year horizon genuinely helps here** and I want to be fair about it: the 80+ wave runs to 2038, so a buyer with a decade can sit through a multiple reset that would force out anyone else — this is more investable for you than for most. But a long horizon is a reason to be *patient about the entry*, not a reason to overpay for it; a decade of holding does not repair a 33x purchase price if the terminal multiple is 22x. **On correlation: this is not a diversifier from AMT, it is a second REIT — and the worse-priced of the two.** You already own the cheaper, lower-levered, slower-growing tower REIT at 15.5x AFFO; adding Ventas at 33x AFFO increases REIT exposure at roughly double the price for a growth rate with a visible expiry. **Tax location, if you ever do buy it: 401(k)/403(b), never the taxable account** — REIT distributions are non-qualified ordinary income (Ventas's own 1099 reporting confirms this), so holding it in taxable would give away several points of after-tax return. I'm not a tax advisor; confirm with yours.
>
> **Cross-portfolio scorecard, as a framing device only.** On consistent assumptions, base-case five-year IRRs now stand at roughly **GEV +3%/yr** (July 2026, at $1,057) and **VTR +2%/yr**. Both are excellent businesses priced for outcomes that leave the buyer little. That is a statement about this tape as much as about these two companies, and it is a reason to hold what you own and be selective about what you add — not a ranking to act on mechanically.

The three things to actually watch

1. **Year-over-year SHOP occupancy gain.** +310bp in Q1'26, +300bp in 2024, guided ~+270bp for 2026. **The first quarter below ~200bp is your signal that the engine is running down** — and it will arrive one to two years before the market prices it. This is the single most important number in the company.
2. **The RevPOR-versus-expense spread.** Q1 was +5.0% RevPOR against +5.8% operating expenses, blamed on winter storms. If that stays inverted through Q2 and Q3, the post-occupancy growth rate is lower than anyone is modelling, because rate is all that is left.
3. **How the 2027 investment programme gets funded.** If Ventas keeps issuing equity, the accretion machine is intact and management still thinks the stock is expensive. If it shifts to debt or dispositions, that is management telling you the currency has stopped being cheap — which is also the moment external growth slows.

Bottom line

Ventas is a good company in an outstanding sector, run by someone who has been at it for twenty-seven years and is currently executing well. The demographic case is not a forecast — every person who will be 80 in 2035 is alive today — and the supply drought is the most reliable feature of the whole setup. I would happily own this business. On property type and duration it suits a pension-backed, ten-year, growth-oriented owner better than most REITs do.

But the price is doing the arguing, and the arithmetic does not work. Three findings drive my view, and you can disagree with any of them individually. One: on a like-for-like yardstick the stock is at 33x AFFO, not the 25x that gets quoted, because FFO ignores the $400M of capex Ventas itself budgets — that is 2.1x the American Tower already in the portfolio. Two: the growth being capitalised is an occupancy recovery that is roughly 90% complete, not a durable run rate. Three: the long-run per-share record is poor — 2.2%/yr since 2020, negative over ten years — because the growth is bought with newly issued stock, and half of last quarter's reported FFO growth came from the share count. **My call: not a buy at $96.10.** The base case earns ~2%/yr, the bear case costs 45%, and even freezing today's multiple in place for five years caps the return under 9%. I would want this in the low $70s or below — around 24x AFFO — before the risk/reward turns, and I would rather reach that level by waiting for AFFO to grow into the price than by hoping for a crash. **Watch the occupancy line, not the stock.** It will tell you when the story changes, and it will tell you first.

Sources & disclosures. Primary: Ventas Form 8-K / earnings release for Q1 2026 (Apr 27, 2026), including the consolidated financial statements, the FFO and Same-Store Cash NOI reconciliations, the Adjusted EBITDA and Net Debt reconciliation, and the full-year 2026 guidance assumptions; Q4/FY2025 earnings release and 2026 outlook (Feb 5, 2026); FY2024 earnings release (Feb 12, 2025); FY2025 Annual Report (Form ARS) FFO reconciliation; Q3 2025 Form 10-Q; DEF 14A (2026 and 2023); Ventas IR dividend history and 1099-DIV tax-treatment disclosures; Q1 2026 earnings call transcript and investor presentation; Q2 2026 earnings-date announcement (Jun 29, 2026). Peers: Welltower Q1 2026 release and call; American Tower Q1 2026 release and call. Industry: NIC MAP Q1 and Q2 2026 occupancy, inventory-growth and construction releases; PwC/ULI Emerging Trends senior housing outlook. Market data: Robinhood closing quotes, July 17, 2026 (VTR $96.10; WELL $243.31; AMT $170.04; DOC $22.51; OHI $50.20). Aggregators used only for triangulation of the long-run FFO-per-share CAGR.

Known uncertainties, stated plainly: (1) The AFFO figure of $2.90 is **my calculation, not a Ventas-reported number**. It uses the company's own $400M FAD-capex guidance but the company does not split that between recurring maintenance and value-add repositioning; the sensitivity table in §5 shows the full range, and the conclusion holds across all of it. (2) The $0.09 straight-line and non-cash rent deduction is my annualisation of a single quarter and could be off by a few cents. (3) 2026E revenue of ~$6.7B is my estimate from Q1 actual plus Q2 guidance, not a company figure. (4) 2020 and 2021 revenue figures are approximate and are shown only in the per-share chart, not in the five-year table. (5) The occupancy chart mixes Ventas's portfolio measure (which includes Canada and the UK) with NIC's US industry measure; they are not strictly comparable, and I have said so on the chart. (6) AMT's 2026 AFFO guidance is quoted at ~$10.99 from the Q1 call; at least one secondary source cites $9.80–$10.00, and I could not reconcile the difference from the primary release — if the lower figure is correct, AMT is at ~17x and the like-for-like gap narrows but does not close. (7) I could not verify management's claimed "double-digit to mid-teens unlevered IRRs" on new acquisitions from any primary disclosure; it is an underwriting assumption and I have not modelled it as a result. (8) SHOP same-store NOI growth for 2022 and 2023 is omitted because same-store definitions and portfolio composition changed with the triple-net conversions, making the series non-comparable. (9) All scenario inputs — growth rates, exit multiples, dividend growth, share count — are my assumptions and will be wrong in ways I cannot anticipate; the exit multiple in particular carries almost the entire result, which is why it is broken out separately. (10) Every price and multiple here is as of the July 17, 2026 close and will be stale immediately; **Ventas reports Q2 on July 29, 2026 after the close, with the call on July 30, and that print will move all of it.**

This is educational research and analysis, not investment advice. I am not a licensed financial or tax advisor, and nothing here is a recommendation to buy or sell any security. The scenario models reflect my assumptions, which will be wrong in ways I cannot anticipate. Position sizing, tax consequences, and how this fits alongside your existing REIT exposure should be decided by you — ideally with a fiduciary who can see your whole balance sheet.